Of all the banking houses of India, ancient or modern, none has achieved a place in history comparable with the house of Jagat Seths whose transactions were on an enormous scale. The founder of the house was Hiranand Sahu who migrated from Jodhpur to Patna in 1652. He was succeeded by his son Manikchand in 1711 who made a loan of ₹1 crore to aid the revolt of Farrukhsiyar and was rewarded by him with the title of Nagar Seth. Manikchand was succeeded in 1714 by his nephew and adopted son, Fateh Chand, under whom the house reached new heights of glory and power. In 1722, the emperor Mahmud Shah conferred on Fateh Chand the title of Jagat Seth as a hereditary distinction. The height of the prosperity of the house was attained at the time of Mahtab Rai and his brother, the two grandsons of Fateh Chand. They, however, paid the price for playing politics and were executed by Mir Kasim.

Benares was the original home of many banking houses. Pre-eminent among them during the latter half of the eighteenth century was the house of Gopaldas Sahu and his son Manohar Das. There was hardly a place of importance in the country which did not have an accredited agent of the house. Gopaldas was the East India Company's farmer of revenues and treasurer at Benares. Contemporary with Gopaldas was Trawadi Arjunji Nathji of Surat, a Nagar Brahmin hailing from Benares, who was reputed to be the richest banker in Gujarat. He was officially proclaimed as the 'Company's Shroff in India'. Many years before Arjunji Nathji there flourished in Surat (1619–1634) the famous merchant banker Virji Vora described in the East India Company's correspondence and travellers' notes as 'prime merchant of this town (Surat)', 'the greatest and richest general merchant that inhibited the vast kingdom' with resources of ₹80 lakhs. Ahmedabad had its Seth Shantidas whose family in later times was more widely known by the title of Nagar Seth, conferred on it by either Shah Jahan or Aurangazeb.

The local Chettis were prominent in the South for their banking activities. However, Gujarati merchants and bankers also appear to have been active and in 1740 the largest banking house of the South was that of Bukanji Kasidas, a Gujarati, who was styled as 'Sarkar's sowkar and the chief shroff of the province'.

Modern Indian Banking